Q: Am I eligible for a 401(k)?

A: Ask your employer. You may be required to work for your employer for a year before you can contribute.

Q: One of my 401(k) investment options is stock in my company. Should I bite?

A: Probably not. When you work for a company, you already have a huge “investment” in it. If the business runs into difficult times, you’re at risk twice: Not only could you lose your job, but you could also see your retirement portfolio plummet. What’s more, as I’ve mentioned, many employers match employee contributions with shares of company stock, so you may already be heavily invested in your firm. Even if your company puts its match in its own stock, most employers will let you immediately convert those shares into other investment alternatives offered in your 401(k); if yours does, make sure to take advantage of this option. In any event, by law you have the right to do that once you have three years on the job.

Q: What’s the safest thing I can put my 401(k) money in?

A: Money market funds are likely to be your lowest-risk option. They’re nearly as safe as bank accounts. The problem—and it’s a *big* problem—is that they don’t keep up with inflation, so the *value* of your money will decline. Though historically other choices in your 401(k) (like stock and bond mutual funds) have done much better than money market funds, in this climate money market funds are an understandable choice for people who are terrified of losing the money they invested. They’re a way to enjoy the benefits of a 401(k)—tax breaks and matching contributions from your employer—without taking on the risk of the market. But this is not a strategy that’s likely to provide the long-term growth you’ll want in these accounts.

Q: What happens if I get laid off or change jobs?

A: If you move to another company, you can probably transfer your 401(k) money into your new company’s 401(k) and you can definitely put it